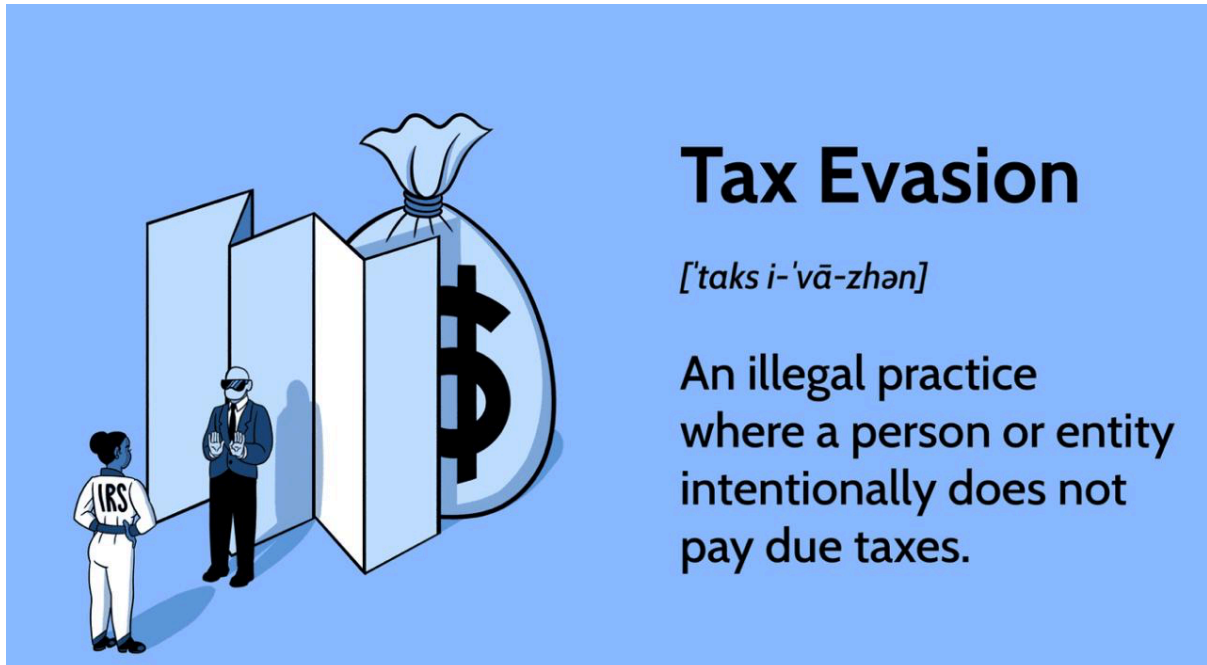


1-A:

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.



Option A says that changing the tax system leads to more tax evasion. That means that aim is not achieved. Also changes in taxes are not the macro aims and hence makes it the correct answer.

Why not the other options?

Other options are achieving the macro aims that is balance of payments stability, economic growth and low unemployment.

2-C:

The factors of production are the resources used to create goods and services. Economists traditionally classify these into four categories: land, labor, capital, and entrepreneurship.

Option C says that increasing the demand of goods and services will increase the demand for more factors of production. Therefore it is regarded as a derived demand.

Why not other options?

A- decrease in efficiency will decrease the demand for factors of production as producing more goods and services become more expensive

B- if substitutes become cheaper, then the demand would switch to its alternative and hence demand for more factors of production would fall

D- increase in price would make it more expensive and therefore demand would fall

3-C:

The Human Development Index (HDI) has three key components: health, education, and standard of living.

Life expectancy at birth and expected years of schooling are the sub components of HDI and comes under health and education protection

4-C:

tariff is a tax on goods and services imported into a country. It is typically used to increase the price of imported goods, making them more expensive than domestic goods and services, thus protecting domestic industries.

For Chinese steel producers, the income will not increase as the tariffs are imposed on Chinese goods, making it more expensive and therefore demand for Chinese goods will fall. For US government, the income will be generated as tariffs are imposed and this will increase the tax revenue for the US government and hence likely to achieve the income

5-B:

Option B says that increase in wages will increase the consumption and thus this will affect AD and when AD exceeds with AS, the demand pull inflation will likely occur in an economy. As a consequence, the adverse effects will hit an economy.

Why not other options?

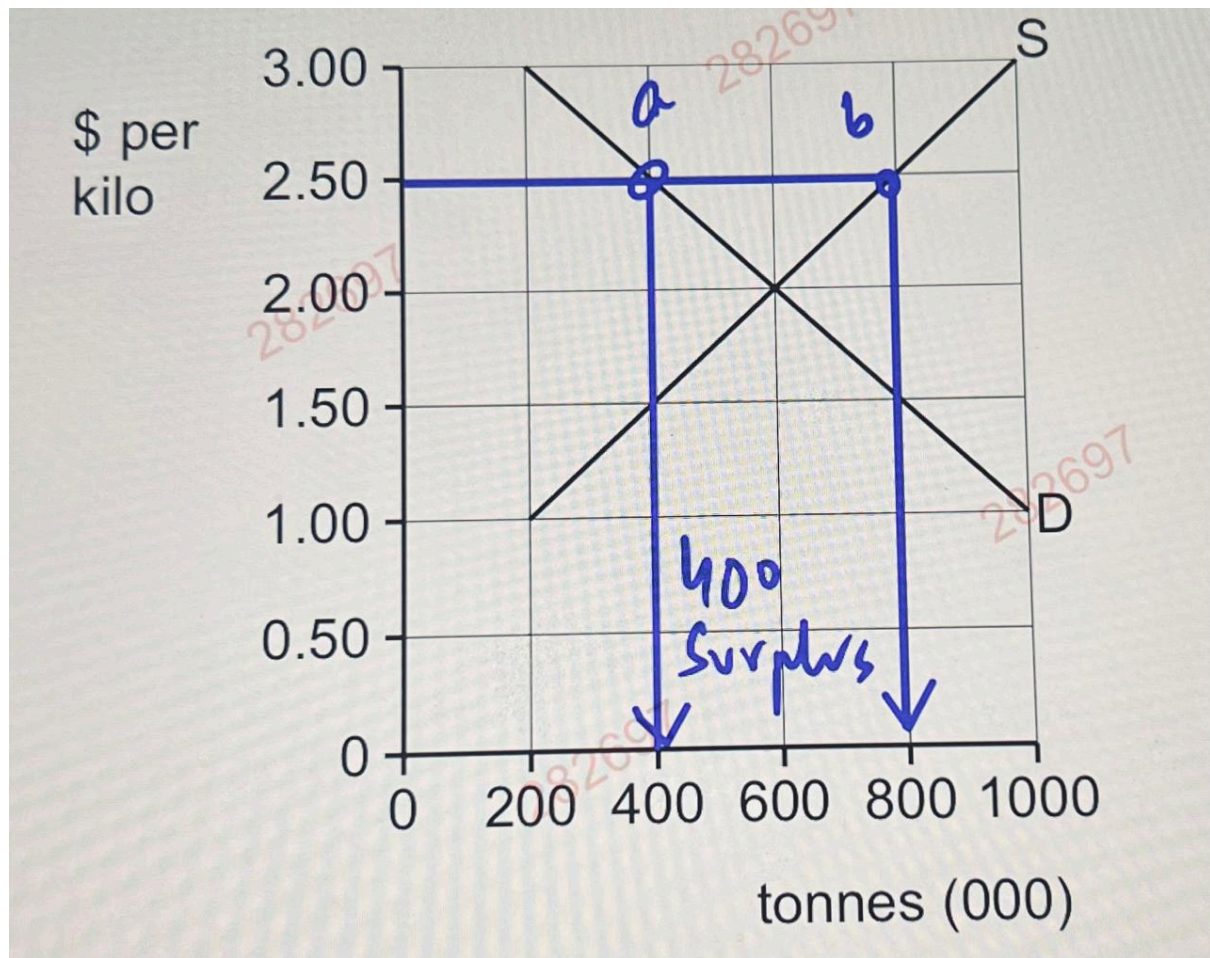
Other options will have a positive impact on an economy

6-D:

A market surplus, also known as excess supply, occurs when the quantity of a good or service supplied by producers exceeds the quantity demanded by consumers at the current market price. This situation typically leads to a downward pressure on prices as sellers try to get rid of the excess inventory.

The market is equilibrium at \$2.00 and 600,000 tonnes for apples.

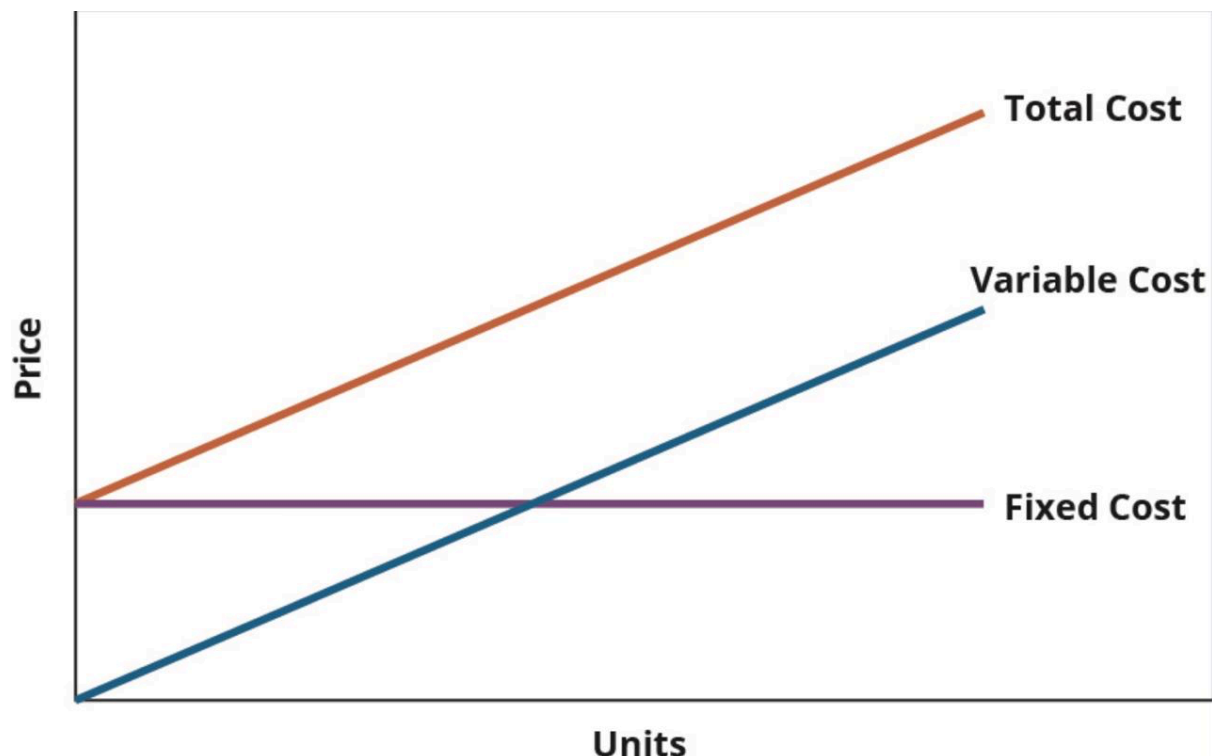
When the price rises to \$2.50, the quantity supplied would exceed the quantity demanded as shown below. The point a and b indicates the surpluses in a market for apples that is 400,000 tones.



Why not other options?

A Market Shortage occurs when there is excess demand- that is quantity demanded is greater than quantity supplied and it only occur when the price is below the equilibrium that is not the case in the diagram.

7-D:



The distance QS is the total variable cost as PS is the total cost and PQ is the total fixed cost. The distance QR is nothing.

8-A:

From the given table, we can conclude that in year 2 the world output was also higher and the average prices were also higher. That means the overall relationship could be highest. While the lowest world output is in year 3 and lowest average price is in year 4. Hence different in both years so the relationship couldn't be lowest

9-B:

Elastic supply refers to a situation where the quantity supplied of a good or service is highly responsive to changes in its price.

Highly elastic supply for its products means if there is change in price, the firm would quickly respond to it without taking too much time to produce.

Why not other options?

A- increasing revenue by reducing prices could apply to elastic demand not to the elastic supply

C- keeping low stock means it is relatively inelastic supply and could take time to respond or meet the market demand

D- close substitutes, this could be elastic demand nor elastic supply

10-B:

Improved road links would be external benefits that are enjoyed by the third parties.

External economies of scale occur when a firm's average costs fall due to growth in the industry or location it operates in, rather than from the firm itself. These cost savings benefit all firms in the area and arise from shared services, skilled labour pools, better infrastructure, or supplier networks.

Option B says increase external economies of scale as cost would be reduced for all firms who use the improved road links and thus benefit from external factor

Why not other options?

A- average revenue is the same as price and the price is not mentioned of anything in the QS

C- increased internal EOS couldn't be as the decision is not taken by the single firm

D- no mention of merger or takeover

11-A:

In a monopoly, there are many buyers but only one seller. The single seller, the monopolist, controls the entire supply of a particular product or service, while consumers who want to purchase that product or service have no alternative but to buy from the monopolist.

A competitive market is characterized by numerous buyers and sellers, with no single entity having the power to influence market prices

Therefore option A makes both market characteristics correct

12-B:

Opportunity cost is money or benefits lost by not selecting a particular option during the decision-making process.

A student takes \$5 out of \$100 from her savings account. So the opportunity cost what she purchased from that \$5 and what she could purchase from that \$5.

Why not other options?

A- \$95 is saved rather than spent so no opportunity cost for this amount of money that being saved in this context

C- there is a opportunity cost

D- there is opportunity cost for a party as well she could spend time with her families or study either

13-B:

Increasing productivity will shift out the demand curve to the right thus rising the price and extending the quantity demanded of using the capital.

Why not other options?

A- the cost of production will decrease as the productivity is increasing thus increasing the supply and therefore fall in prices and cost of production

C- the demand for capital is rising and thus the price will increase too

D- the supply of capital will increase as there would increase in productivity

14-B:

Constructing the Consumer Price Index (CPI) requires determining a representative basket of goods and services, tracking their prices over time, and then calculating the index value using a base year. This involves selecting items frequently purchased by consumers, monitoring price changes across various locations, and using a consistent methodology to compare prices over time.

Base year is required. While the above definition says about tracking the prices, not the **price stability** is required. In addition, the weights are the proportion of income spent on the commodities and **yes** it is also required.

15-A:

An import quota is a restriction placed on the importation of a particular type of good that has been manufactured outside of the country. The effect of the import quota is to limit how much of the goods may be brought into the country during a specified time period.

Removing the import quotas means that more imports would be entering into an economy and thus the demand for domestic products would start to diminish, reducing domestic production and consumption as a whole.

Why not other options?

B- domestic unemployment will likely to increase as domestic demand is falling due to more imports coming into a country

C- no information about the exports

D- more imports coming that's means the trade deficit will increase

16-A:

An economic system based on supply and demand with little or no government control known as free market economy.

In the market economic system, the producer produces what consumers really want and thus the price mechanism is operational in this system. If the firms do not produce what consumers demand, the firms would lose their revenue and become unprofitable. Therefore it would be an advantage as consumers' demands are satisfied.

Why not other options?

Other options are not the advantage

17-C:

Fiscal policy refers to the government's use of spending and taxation to influence the economy. It's a key tool for managing macroeconomic conditions like growth, inflation, and employment. Governments adjust spending and tax rates to stimulate or cool down the economy, aiming for stability and sustainable growth.

Reducing the corporate taxes is an expansionary fiscal policy.

Why not other options?

A- it is contractionary monetary policy

B- supply side policy

D- it is an expansionary monetary policy

18-A:

A higher rate of interest rate is likely to impact savers, borrowers and exchange rate.

Savers will save more to enjoy higher rate of return and thus reduce the consumption and spending in an economy

Borrowers will borrow less due to high cost of borrowing and thus fall in investment and AD

19-D:

Reclamation of land is associated with land not the human resource

Why not other options?

Other options also with Human Resources especially improving quality of life

20-D:

Economic growth refers to an increase in the size of a country's economy over a period of time. The size of an economy is typically measured by the total production of goods and services in the economy, which is called gross domestic product (GDP).

Decreasing the taxation means that consumers' disposable income increases. Consumers now spend and consume more. Increase in consumption means more goods and services needed, thus increasing the output of an economy. As a result, the AD increases and economic growth occurs

Why not other options?

A- decreases employment means increased unemployment and increase in unemployment means fall in output

B- fall in investment means there is decreased in AD and thus fall in output

C- decrease productivity means output is fall

21-A:

Recessions typically lead to businesses reducing hiring and potentially laying off workers due to decreased demand for their products or services.

Recessions are occurring that means AD is falling. The point on the PPC curve shows full employment but when 5% unemployment increases that would shift the point inside the PPC. This is shown in the diagram #1

Why not other options?

B- this shows inward shift in PPC and that caused by destruction in natural resources and other factors

C- it shows the increasing opportunity cost

D- the point X is outside the PPC and full employment is on the PPC

22-C:

Person Z spent 50% of their income on basic necessities that indicates that it is the lowest income earners from the group

While person X spent 30% of their income on the food, clothes and housing

Person Y spent 40% of their income on the luxury goods that indicates that it is highest income groups

Hence we find out our group from **Z—X—Y**

23-B:

Recessions typically lead to businesses reducing hiring and potentially laying off workers due to decreased demand for their products or services. During recession, the AD would fall and as a result the incomes and employment also fall.

As a consequence the purchasing power of households would decrease

Why not other options?

A- increasing the taxes would worsen the situation as High taxes would result in low disposable income and also contribute to the tax evasion

C- high value of currency wouldn't decrease the standard of living

D- emigration would increase

24-D:

The Production Possibilities Curve (PPC) is a model used to show the tradeoffs associated with allocating resources between the production of two goods

25-B:

Benefits: mining process will create job and employment opportunities so it would be benefit to the low income MNCS

Cost: Minerals are non renewable resources and they will deplete with time

26-D:

Increase in productivity will increase efficiency. A higher efficiency will reduce the cost per unit of producing each unit of output and thus output will increase. A higher output would contribute to a higher standard of living.

Why not other options?

A- an increase in budget surplus would likely to increase the rate of taxation that means consumers disposable income would fall. A low income means low savings

B- an increase in consumer spending would likely increase the consumption and thus more spending in an economy. As a result, AD would increase and unemployment would fall

C- an increase in inflation rate would likely to make the exports uncompetitive and thus trade surplus would reduce

27-C:

The foreign exchange rate is the value of one country's currency expressed in another country's currency. For example \$1: £2

Why not other options?

A- net migration

B- balance of trade

D- concept of opportunity cost

28-A:

FUNCTION OF CENTRAL BANK



Commercial banks play a crucial role in the economy by providing essential financial services. Their key functions include accepting deposits, providing loans, facilitating payments, offering foreign exchange services, and assisting with investments.

29-D:

The main macroeconomic aims of a government include economic growth, low unemployment, price stability (low inflation), balance of payments stability, and income redistribution.

Option A, B and C are the aims of microeconomics and while option D is macroeconomic aims

30-C:

Early retirement would likely to decrease the size of labour force as people would leave the market more quickly than often

Why not other options?

A- fall in average size of families would not be immediate effect and it would take years to reduce the size of labour force

B- same as above

D- increase in net migration means more people coming into an economy and thus increase the size of labour force